BYBLOS BANK SYRIA SA

Chairman's Report to the Board of Directors Based on the unaudited Financial Statements For the first quarter of 2020

KEY FINANCIAL HIGHLIGHTS & RATIOS

	Dec-18	Mar-19	Dec-19	Feb-20	Mar-20	Budget Mar-20
A. HIGHLIGHTS (USD Thousands)						
Total Assets	188,221	197,927	211,292	166,124	178,158	143,871
Net Customer Advances	56,217	59,688	77,261	45,660	48,339	50,310
Customer Deposits	129,414	136,357	139,055	94,767	104,745	92,276
Cash & Central Bank	57,505	72,677	61,583	54,284	62,450	42,470
Due from banks	34,558	24,185	28,113	23,001	23,758	18,947
Due from head office	34,475	35,786	37,701	38,379	37,634	26,841
Fixed assets	2,950	2,967	3,789	2,411	2,409	3,378
Financial Instruments	896	905	922	571	571	570
Foreign Governmental Securities	0	0	0	0	0	*0*
Bonds & Fixed Income Securities	0	0	0	0	0	*0*
Equities	896	905	922	571	571	*570*
Net Income Including unrealized structural FX income	2,833	956	4,698	30,649	727	11,633
Net Income Excluding unrealized structural FX income	2,833	956	4,702	675	727	1,885
operational income	4,472	2,458	11,516	1,507	1,948	2,884
Operating expenses	4,606	1,227	5,639	782	1,139	1,573
Letters of credit	0	0	0	0	0	0
Letters of guarantees	60,126	62,360	39,277	33,479	33,607	24,671
Number of employees	217	224	229	239	239	277
of which expatriates	2	2	2	2	2	2
Number of branches	10	10	10	10	10	10
B. PROFITABILITY						
ROA (Return On Average Assets) Excluing unrealized structural FX income	1.60%	1.61%	1.95%	2.38%	1.67%	2.58%
ROE (Return On Average Equity) Excluding unrealized structural FX income	5.43%	5.67%	6.89%	7.84%	5.32%	9.16%
SYP Interest On Average Earning Assets	6.17%	7.05%	6.89%	6.47%	6.24%	7.45%
Average Return on SYP Customers' Loans	10.10%	10.88%	10.09%	9.29%	9.13%	11.63%
SYP Average Funding Cost	5.02%	3.53%	3.43%	3.23%	3.27%	3.26%
Average Cost of SYP Customers' Deposits	5.10%	3.56%	3.46%	3.24%	3.28%	3.30%
SYP Net Interest Spread	**1.15%**	**3.52%**	**3.46%**	**3.24%**	**2.97%**	**4.19%**
FCY Interest On Average Earning Assets	1.39%	1.53%	1.61%	2.59%	2.10%	1.16%
Average Return on FCY Customers' Loans	0.06%	0.23%	0.06%	6.65%	4.08%	0.00%
FCY Average Funding Cost	0.05%	0.04%	0.04%	0.03%	0.03%	0.11%
Average Cost of FCY Customers' Deposits	0.06%	0.04%	0.04%	0.03%	0.03%	0.12%
FCY Net Interest Spread	***1.34%***	***1.49%***	***1.58%***	***2.56%***	***2.07%***	***1.04%***
Net Interest Spread	**-0.14%**	**1.74%**	**1.82%**	**2.18%**	**1.77%**	**2.67%**
Net Interest Margin	**1.57%**	**3.22%**	**2.94%**	**3.42%**	**3.02%**	**3.59%**
Operating Expenses To Operational Income (Cost-To-Income ratio)**	**103.00%**	**49.89%**	**48.97%**	**51.88%**	**58.45%**	**54.53%**
Operating Expenses / Average Assets	2.65%	2.55%	2.8%	2.6%	2.6%	2.84%
Operating Expenses To average Customer Deposits	3.94%	3.71%	4.21%	4.21%	4.24%	1.09%
Net Interest Inc. / Total Operational Inc.**	**86.15%**	**74.50%**	**65.24%**	**77.12%**	**77.35%**	**76.60%**
Net Commission Inc. / Total Operational Inc.**	12.25%	18.19%	26.99%	24.77%	24.67%	15.96%
C. LIQUIDITY						
Liquid Assets Ratio	67.23%	67.02%	60.29%	69.62%	69.51%	61.35%
FCY offshore liquidity / FCY deposits ***	**134.61%**	**120.05%**	**121.06%**	**118.83%**	**118.21%**	**N/A**
Current Customer Deposits to Customer Deposits	**60.65%**	**61.72%**	**53.55%**	**54.19%**	**52.88%**	**54.96%**
SYP Current Customer Deposits to SYP Customer Deposits	56.50%	58.24%	50.53%	49.70%	51.70%	51.91%
FCY Current Customer Deposits to FCY Customer Deposits	86.27%	82.02%	71.70%	71.41%	56.72%	71.59%
Net Loans to Customer deposits	**43.44%**	**43.77%**	**55.56%**	**48.18%**	**46.15%**	**54.52%**
Gross Loans to Customer deposits	**75.22%**	**72.72%**	**82.88%**	**80.11%**	**74.57%**	**82.04%**
SYP Net Loans To SYP Customer Deposits	**51.47%**	**52.75%**	**64.93%**	**60.32%**	**59.84%**	**64.63%**
SYP Gross Loans To SYP Customer Deposits	**73.20%**	**73.13%**	**83.81%**	**81.10%**	**78.51%**	**82.52%**
SYP Net Loans To SYP Assets	**53.31%**	**52.79%**	**61.50%**	**57.03%**	**54.22%**	**60.80%**
SYP Placements with Central Bank to SYP Customers' Deposits	29.02%	35.32%	23.22%	26.00%	27.46%	25.18%
SYP Placements with Banks to SYP Customers' Deposits	6.54%	0.53%	3.78%	0.04%	0.66%	2.73%
FCY Net Loans To FCY Deposits	**-6.08%**	**-8.77%**	**-0.90%**	**1.70%**	**1.44%**	**-0.58%**
FCY Gross Loans To FCY Deposits	**87.63%**	**70.32%**	**77.32%**	**76.30%**	**61.70%**	**77.65%**
FCY Loans To FCY Assets	**-1.36%**	**-2.14%**	**-0.21%**	**0.39%**	**0.40%**	**-0.14%**
FCY Placements with Central Bank to FCY Customers' Deposits	82.73%	89.65%	104.45%	111.33%	103.37%	102.44%
FCY T-Bills to FCY Customers' Deposits	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
FCY Placements with Banks to FCY Customers' Deposits	150.93%	118.40%	119.26%	117.01%	94.58%	117.59%
Customer Deposits To Total Deposits	98.81%	98.38%	98.82%	98.33%	98.92%	98.51%
Interbank Assets To Interbank Liabilities (x)	74.49	53.04	68.50	63.66	94.89	57.45
D. ASSET QUALITY						
Non-Performing Loans / Gross loans	38.9%	35.6%	35.8%	41.9%	41.1%	35.7%
Coverage Ratio ****	111.5%	115.2%	96.9%	98.7%	96.2%	98.5%
E. CURRENCY STRUCTURE						
SYP Customers' Deposits to Customers' Deposits	86.04%	85.40%	85.77%	79.29%	76.55%	84.50%
Gross SYP Customers' Loans to Gross Customers' Loans	83.74%	85.88%	86.72%	80.27%	80.60%	85.33%
FCY cash hedging of Capital	37.30%	37.30%	37.30%	37.30%	37.30%	N/A
FCY fixed assets hedging of Capital	25.00%	25.00%	25.00%	25.00%	25.00%	N/A
Exchange rate SYP/USD	**436.00**	**436.00**	**436.00**	**704.00**	**704.00**	

EXECUTIVE SUMMARY

During the first quarter of 2020, Byblos Bank Syria recorded a Net Income of SYP 447.1 million (USD 727.5 thousands) compared to SYP 416.9 million (USD 956.2 Thousands) last year, recording an increase of 7.2% (+SYP 30.2 million).It is worth mentioning that the Syrian Pound remained constant at 436/USD during 2019 and first month of 2020 then adjusted by CBoS to 704/USD at the end of Feb-20 and remained constant during March-20.

ROA and ROE stood at 1.67% and 5.32% respectively in Mar-20, as compared to 1.61% and 5.67% respectively in Mar-19.

Despite the decrease in Net Operating Income before taxes (excluding the Reserved Interest Reversed) by 12% (-SYP 52.5 million) Total operating income recorded an increase of SYP 112.7 million which reached SYP 1,073 million at the end of March-20 compared to SYP 961.3 million in the same period of last year partially offset by the increase in operating expenses by SYP 165.1 million.

(SYP 000's)	**Mar-19**	**Mar-20**
Net Interest Income	684,897	802,815
Reversed reserved interest	113,632	123,409
Net Commissions	195,030	295,411
Net FX Income/Financial	81,370	(24,873)
Net Other Income	(14)	617
Total Operating Income	**961,283**	**1,073,970**
Salaries & employees benefits	326,896	456,875
Other operating expenses	167,752	169,372
Depreciations	40,154	73,668
Total Operating Expenses	**(534,801)**	**(699,915)**
Net Operating Income Before Taxes	**426,482**	**374,056**

The Operating Income growth was explained by:

Net interest income (excluding the reserved interest reversed) increased by 17.2% (+SYP 117.9 million/+USD 192 Thousands) resulting from:

- The increase in the average SYP Performing Loans by 19.8% (+SYP 5.3 billion /USD 7.5 million) at an average rate of 12.15% resulted in an increase in interest received on loans by 11.9% (+SYP 116.7 million/+USD 189 Thousands).

- The increase in interest income received from HO by 7% (+SYP 15.6 million/USD 25.4 thousands) inflated by the currency devaluation however if the currency effect was Eliminated Interest income from HO would record a decrease of 24% (-SYP 53.7 million).

- The investment in CDs with the CBOS for SYP 1.6 billion at 4.5% on the 21st of February 2019, for one year (maturity 21/02/2020), generated SYP 7.5 million (USD 2.2 Thousands) of interest income during the first quarter of 2019, compared to SYP 11.1 million (USD 1.8 Thousands) in the first quarter of 2020.It is worth mentioning that on the 25th of March, an amount of SYP 700 million was reinvested for 6 months with the CBOS in new CDs issue at 6.5% .

- The USD 1 million placement with the central bank of Syria at 4.26% in Jun-19 generates interest of SYP 6.6 million (USD 11 thousands) during the first quarter of 2020.

  The above was partially offset by the increase of interest expenses on customers' deposits by 2.3% (+SYP 9.9 million) mainly due to the increase in the average SYP term deposits by 14.4% (+SYP 3 million) at 7.46%.

Net commissions income increased by 51.5% (+SYP 100.4 million/USD 1.6 million) (78% of the net commission are in FCY) to reach SYP 295.4 million (USD 480.6 K) as at end Mar-20 partly inflated due to the currency devaluation.

The above was partially offset by the increase in **operating expenses** mainly staff related, by 30.9% (+SYP 165.1 million/USD 268 Thousands) to reach SYP 699.9 million/USD 1.1 million.

Other non-operating and non-recurring items affecting Byblos Syria during March 2019 versus March 2020:

Positive effect:	*Mar-19*	*Mar-20*	*Effect*
General provisions (recoveries) for loan losses	SYP 153M	-	+SYP 153M
Specific Provisions	SYP 358M	-	+SYP 358M
Banks and CBOS ECL *provisions*	SYP 490M	-	+SYP 490M
Provision risk & charges	SYP 4M	SYP 3 M	+SYP 1M

Total = +SYP 1,003M (USD 1.6 M)

Negative effect:	*Mar-19*	*Mar-20*	*Effect*
Recoveries of Specific Provisions	SYP 1,287 M	SYP 103M	-SYP 1,185M

Total = -SYP 1,185M (USD 1.9 M)

NET = -SYP 182M (USD 300 K)

In fact, during the first quarter of 2020, Byblos bank Syria released SYP 103 million (USD 167 Thousand) of specific provision mainly due to the write off of SYP 209.1 million related to the commercial client "SHARIKAT RADWAN IKHWAN", which led to a release of SYP 80 million of Specific provision.

During the first quarter of 2019 the bank released SYP 1.3 billion (USD 3 million) of specific provision mainly due to the collection from 3 doubtful clients (Salb Steel, Youssef Asswad,Imad Kseibi & Hanin El Hajj Hussein) which had a total outstanding balance of C/V SYP 1.7 billion (fully provided for).

GROWTH and RETURN:

Net Interest spread [(a)] in all currencies increased to reach 1.77% as at end Mar-20 compared to 1.74% in Mar-19.

- Net SYP interest spread [(a)] dropped by 55 basis points to reach 2.97% as at end Mar-20.
- Net FCY interest spread [(a)] increased by 58 basis points to reach 2.07% as at end Mar-20.

See below table of asset and liabilities return and cost by currency:

INTEREST RATE DIFFERENTIAL IN SYP:

	Mar-19				Mar-20				Growth	Dec-19	Mar-20
Interest Earning Assets (Lcy In SYP million)	**Average**	**Weight**	**Interest Income**	**Avg. Rate**	**Average**	**Weight**	**Interest Income**	**Avg. Rate**	**(Basis Points)**	**Actual Balance**	**Actual Balance**
Cash & Central Bank	18,321	32.6%			19,162	29.8%				14,584	23,052
Cds with central bank	766	1.4%	7.5	3.91%	964	1.5%	11.1	4.57%	65	1,590	678
Due from Banks	980	1.7%			695	1.1%				1,857	379
Customer Loans	36,125	64.3%	982.8	10.88%	43,464	67.6%	1,002.6	9.13%	-176	43,551	44,297
of which Performing loans	26,500	47.2%	869.2	13.12%	31,754	49.4%	975.3	12.15%	-97	31,783	32,468
of which Non performing loans	9,625	17.1%	113.6 *	4.72% *	11,710	18.2%	27.3 *	0.92% *	-380	11,769	11,829
Total Interest Earning Assets	**56,193**	**100.0%**	**990.3**	**7.05%**	**64,285**	**98.5%**	**1,013.7**	**6.24%**	**-81**	**61,582**	**68,406**
Interest Bearing Liabilities (Lcy in SYP million)	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Growth (Basis Points)**	**Actual Balance**	**Acwual Balance**
Due to Banks	399	0.8%			245	0.5%				214	320
Customer Deposits	48,904	99.2%	429.3	3.56%	53,628	99.5%	438.9	3.28%	-28	51,728	56,097
Total Interest Bearing Liabilities	**49,303**	**100.0%**	**429.3**	**3.53%**	**53,873**	**100.0%**	**438.9**	**3.27%**	**-26**	**51,942**	**56,418**
Net SYP Spread			**561.0**	**3.52%**			**574.8**	**2.97%**	**-55**	**9,640**	**11,988**
Net interest margin				**3.95%**				**3.50%**	**-45**		

(*) Reversal of reserved interest

Yield on Interest Earning Asset

Decrease in the Yield on customers' loans

BBS LCY Actual Earning assets grew by 11% (+SYP 6.8 billion) between the 2 periods, showing an Average Earning assets growth of 14.4% (+SYP 8.1 billion) mainly concentrated in customers' loans.
Despite the growth in SYP Customers' loan exposure, Yield on SYP customers' loans decreased by 176 basis points which reached 9.13% as at Mar-20 compared to 10.9% in the same period of last year mainly due to:

- The reversal of reserved interest during the first quarter of 2019 which amounted to SYP 113.5 million as compared to SYP 27 million during 2020. In fact, during the first quarter of 2019, the bank reversed SYP 66.6 million of reserved interest due to the collection of 443 million from the doubtful client "Youssef Asswad" and reversed SYP 46.9 million due to the collection of SYP 135 million from the doubtful client "Imad Kseibi & Hanin El Hajj Hussein"compared to SYP 27million in 2020.
- The increase in the average Non-Performing loans by 21.7% (+SYP 2.1 billion) which reached SYP 11.7 billion compared to SYP 9.6 billion affected negatively the interest income by an opportunity cost of SYP 63 million.
- The decrease of 97 basis points in the yield on performing loans to reach 12.2% as at Mar-20 compared to 13.1% as at Mar-19.

Accordingly, the yield on interest earning assets decreased by 81 Basis point to reach 6.24% as at Mar-20 compared to 7.05% in Mar-19.

Cost on Interest Bearing Liabilities

Decrease in Cost of funds

A decrease of 28 basis points in the cost of SYP customers' deposits to reach 3.28% during Mar-20 compared to 3.56% during Mar-19 was due to the lower interest rates offered on LCY Term deposits, which recorded a decrease of 98 basis points to reach 7.46% during Mar-20 as compared to 8.44% during Mar-19.

Accordingly, the cost on interest bearing Liabilities decreased by 26 Basis points to reach 3.27% as at Mar-20 compared to 3.53% in Mar-19.

In fact, the decrease in the cost of deposits didn't cover the decrease in the yield on interest earning assets which resulted in a decrease in the Net *SYP interest spread* by 55 basis points to reach 2.97%.

Net SYP interest margin decreased by 45 basis points to reach 3.50% in Mar-20 compared to 3.95% in the same period of last year.

(a) Net Interest Spread = (interest Income / average Interest Earning Assets) – (Interest Expenses/Average Interest Bearing Liabilities)

(b) Net Interest Margin = Net Interest Income/Average Interest Earning Asset

INTEREST RATE DIFFERENTIAL IN FCY:

	Mar-19				Mar-20				Growth	Dec-19	Mar-20
Interest Earning Assets (Fcy in USD Thousands)	**Average**	**Weight**	**Interest Income**	**Avg. Rate**	**Average**	**Weight**	**Interest Income**	**Avg. Rate**	**(Basis Points)**	**Actual Balance**	**Actual Balance**
Cash & Central Bank	14,911	16.0%			17,606	18.6%	10.6	0.24%	24	16,230	20,355
of which time placement with CB					1,000	1.1%	10.6	4.21%	421	1,000	1,000
Due from Banks	25,075	26.9%	30.1	0.48%	23,740	25.1%	29.5	0.49%	1	24,123	23,675
Due from Head Office	38,152	41.0%	316.7	3.32%	38,214	40.3%	306.7	3.17%	-15	37,896	37,924
Customer Loans	14,930	16.0%	8.6	0.23%	15,199	16.0%	156.9	4.08%	385	15,304	15,110
Total Interest Earning Assets	**93,068**	**100.0%**	**355.5**	**1.53%**	**94,759**	**100.0%**	**504**	**2.10%**	**58**	**93,553**	**97,065**
Interest Bearing Liabilities (Fcy in USD Thousands)	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Average**	**Weight**	**Interest Expense**	**Avg. Rate**	**Growth (Basis Points)**	**Actual Balance**	**Actual Balance**
Due to Banks	525	2.6%			578	2.6%				586	576
Customer Deposits	19,852	97.4%	1.8	0.04%	21,406	97.4%	1.8	0.03%	0	20,249	24,580
Total Interest Bearing Liabilities	**20,378**	**100.0%**	**1.8**	**0.04%**	**21,983**	**100.0%**	**1.8**	**0.03%**	**0**	**20,834**	**25,156**
Net Fcy Spread			**353.7**	**1.49%**			**502.0**	**2.07%**	**58**	**72,719**	**71,909**
Net interest margin				**1.52%**				**2.10%**	**58**		

Yield on Interest Earning Asset

BBS FCY Earning assets grew by 3.8% (+USD 3.5 million) showing an average growth of 1.8% (+USD 1.7 million) coupled with an increase in FCY net interest income by 42% (+ USD 148 thousand).mainly due to:

Increase in the Yield on customers' loans

The reversal of reserved interest during the first quarter of 2020 amounting to USD 156 thousand was the only reason for the increase in yield on gross customer loans which increased by 385 basis points.

Placement with Central Bank of Syria

The Time placement of USD 1 million placed with the central bank of Syria in Jun-19 recoded a yield of 4.2%.

The above was partially offset by the:

Decrease in interest rate on Due from Head-office

Yield on due from head-office recorded a drop of 15 basis points to reach 3.17% as compared to 3.32% last year, mainly due to the lower Interest rate received on Nostro accounts with BBL due to the decrease in LIBOR rates (Libor + 1.5% on USD and EUR).

It is worth mentioning that USD 12 million deposited with BBL at 6% during 2019 was reinvested during 2020 at rate of 5% for one year maturity.

Accordingly, the yield on interest earning assets increased by 58 Basis point to reach 2.10% as at Mar-20 compared to 1.53% in Mar-19 however if the reserved interest reversed was disregarded yield on interest earning assets will decrease by 8 basis points and will reach 1.45% .

As a result, Net FCY interest spread increased by 58 basis points to reach 2.07**%** at end of Mar-20.However if the reserved interest reversed was disregarded Net FCY interest spread will reach 1.44%.

Net FCY interest margin increased by 58 basis points to reach 2.10% in Mar-20 compared to 1.52% in the same period of last year.

- **Net commissions income** increased by 51.5% (+SYP 100.4 million/USD 2.6 million) to reach SYP 295.4 million (USD 3.1 million) as at end Mar-20 partly inflated by the devaluation of local currency.

  In fact, Net LCY commission income decreased by 14.8% (-SYP 11.1 million) to reach SYP 64.2 million at the end of Mar-20 compared to SYP 181 million in the same period of last year mainly due to the decrease in commissions received from Letters of Guarantee in SYP by 72% (-SYP 35.8 million).

  Net FCY Commission income increased by 93.2% (+SYP 111.5 million) inflated by the currency devaluation however if the currency effect was isolated Net commission income in USD would record an increase of 36.9% (+USD 101.4 thousands/+SDG 44.3 million) explained by:

  - The increase in commissions received from banking services by 39% (C/V +USD 98.8 Thousands) mainly due to the commission received on selling foreign currencies to clients for DC financing which amounted to C/V USD 345.5 Thousands in Mar-20 compared to C/V USD 243.5 Thousands in Mar-19.
  - Commissions received on documentary collection recorded C/V USD 3.6 thousand during the first quarter of 2020 and was null during the first quarter of 2019.

  The above was partially offset by:

  - The decrease in commissions received from Letters of Guarantee by 11% (-C/V USD 2.1 thousand) to reach C/V USD 17.8 Thousands at the end of Mar-20 compared to C/V USD 20 thousands in same period of last year.

- **Salaries & employee benefits** increased by 39.8% (+SYP 130 million) to reach SYP 456.9 million (USD743 K) in Mar-20 mainly due to:

  - Salary increase by 25% for local employees starting Jan-19.
  - The increase in number of staff between the 2 periods from 224 employees in Mar-19 to 239 employees in Mar-20.
  - The High cost of living, which is budgeted at four salaries, based on the Fx fluctuation.

- **Other operating expenses** increased by 1% (+SYP 1.6 million) to reach SYP 169.4 million. In fact, due to the implementation of IFRS 16 an amount of SYP (SYP 27.7 million/USD 45 k) in rental expenses was reclassified and booked under amortization for leased assets. However, if the IFRS 16 effect was isolated Other Operating expenses will record an increase of 15% (SYP 22.3 million).

  The main variances in general expenses can be detailed as follows:

  - Generators and fuel expenses increased by 45% (+SYP 4.5 million) to reach SYP 14.6 million. In fact, due the shortage of fuel, the bank is increasing its supply to keep all tanks full.

  - Subscription Fees increased by 35% (+SYP 4.2 million) to reach SYP 16.3 million related to the increase in staff salaries.

- Fees and taxes increased by +SYP 3.9 million to reach SYP 4.8 million in Mar-20 mainly due to the USD 5 thousands (SYP 3.7 million inflated in SYP due to the ccy devaluation) stamp fees paid on the service contract signed with LYST TECHNOLOGIES related to the new Core banking.

- Premises maintenance increased by 59% (+SYP 3.8 million) to reach SYP 10.2 million at the end of March. It is worth mentioning that the new contract of February 2020 remains at USD 45 thousand, however it was inflated in SYP due to the currency devaluation.

- Cleaning expenses increased by 65% (+SYP 3.5 million) to reach SYP 9 million mainly due to the purchases related to COVID-19 “Masks, Gloves and hand Sanitizers” which amounted to SYP 1.1 million.

Cost to income ratio increased from 49.9% in Mar-19 to 58.5% in Mar-20 due to the increase in operating cost.

LOAN QUALITY:

In SYP Million	Mar-19	Dec-19	Mar-20	Growth (Mar-20/Dec-19) Vol.	Growth (Mar-20/Dec-19) %	Mar-20 (Currency Effect was isolated)	Growth (Mar-20/Dec-19) (Currency Effect was isolated) Vol.	Growth (Mar-20/Dec-19) (Currency Effect was isolated) %
Non Performing Loans (Stage 3) (Classes 4,5,6)	15,374	17,965	22,582	4,617	25.7%	18,521	556	3.1%
TOTAL CLASSIFIED LOANS (CLASSES 4, 5 & 6)	**15,374**	**17,965**	**22,582**	**4,617**	**25.7%**	**18,521**	**556**	**3.1%**
Specific Provisions for Non-Performing Customers' Loans (ECL Stage 3)	6,080	6,544	7,820	1,277	19.5%	6,160	-383	-5.9%
Reserved Interest on Non-Performing customers' Loans (ECL stage 3)	9,168	10,749	13,638	2,889	26.9%	11,186	438	4.1%
Collective Provisions on performing customers' loans (ECL Stage 1,2)	2,470	118	263	145	123.3%	408	291	247.3%
TOTAL PROVISIONS	**17,717**	**17,410**	**21,721**	**4,311**	**24.8%**	**17,755**	**345**	**2.0%**
Non-Performing Loans/ Total Loans	*35.6%*	*35.8%*	*41.1%*			*33.7%*		
Coverage Ratio (a)	*99.2%*	*96.3%*	*95.0%*			*93.7%*		
Coverage Ratio (b)	*115.2%*	*96.9%*	*96.2%*			*95.9%*		

(a) Reserved Interest + Specific Provisions / NPLs

(b) Total Provisions / Total Perforfming Loans

Total classified loans increased by 25.7% (+SYP 4.6 billion) Inflated due to the currency devaluation. In fact, 47% of the classified loans portfolio are in foreign currency, so if the currency effect was eliminated total classified loans would record an increase of 3.1% (+SYP 556 million).

Coverage ratio (b) reached 96.2% as at end Mar-2020 compared to 96.9% at the end of Dec-2019.However if the currency effect was eliminated coverage ratio will reach 95.9%.

BREAKDOWN OF LOAN PORTFOLIO BY INDUSTRY, LINE OF BUSINESS

Gross Performing Loans (000's SYP)	Mar/19	% of total	Dec/19	% of total	Mar/20	% of total	Growth Mar 20-Dec 19	
Agriculture	1,708,667	6.13%	1,907,104	5.91%	1,990,106	6.14%	83,002	4.4%
Industry	9,778,959	35.10%	13,817,680	42.80%	13,988,759	43.17%	171,079	1.2%
Construction	476,243	1.71%	358,275	1.11%	419,533	1.29%	61,258	17.1%
Trade (Wholesale & Retail)	12,662,880	45.45%	11,095,900	34.37%	11,852,416	36.58%	756,516	6.8%
Services	2,004,322	7.19%	3,603,507	11.16%	2,646,466	8.17%	-957,041	-26.6%
Others	10,039	0.04%	7,925	0.02%	7,238	0.02%	-687	-8.7%
Retail	**1,219,808**	**4.38%**	**1,493,693**	**4.63%**	**1,500,971**	**4.63%**	**7,278**	**0.5%**
Personal Loans	83,402	0.30%	114,043	0.35%	102,929	0.32%	-11,114	-9.7%
Housing Loans	1,110,053	3.98%	1,356,179	4.20%	1,374,967	4.24%	18,788	1.4%
Credit Cards	5,516	0.02%	5,983	0.02%	6,703	0.02%	720	12.0%
Total	**27,860,919**	**100.00%**	**32,284,085**	**100.00%**	**32,405,489**	**100.00%**	**121,404**	**0.38%**

Gross performing loans increased by 0.38% (+SYP 121.4 million) to reach SYP 32.4 billion (USD 46 million) at the end of Dec-19 mainly from loans granted to the Trade sector which witnessed a growth of 6.8% (+SYP 756.5 million) and represented 36.6% of total gross loans.
The increase in the trade sector was mainly due to the new loan of SYP 1.1 billion granted to "MAATOUK LIMITED(MAATOUK DRUGSTORES)" (Wholesale-Pharmaceutical products) to reach a total outstanding loan of SYP 1.9 billion (USD 2.7 million) .

The above was partially offset by the decrease in services sector by 26.6% (-SYP 957 million) and represented 8.17% of total gross loans. The decrease in service sector was mainly due to the maturity part of the loan for "SHARIKAT MTN SYRIA" (Telecommunication Services) which amounted to SYP 992.6 million (USD 1.4 million) total outstanding loan reached SYP 1.5 million (USD 2 million) at the end of Mar-20.

LIQUIDITY

% of Assets	Mar-19	Dec-19	Mar-20
Cash	6.9%	6.3%	8.4%
Due from Central Bank	29.8%	22.9%	26.6%
Treasury Bills, Bonds & investments with fixed income	0.0%	0.0%	0.0%
Due from Banks	**12.2%**	**13.3%**	**13.3%**
Due from Head Office	18.1%	17.8%	21.1%
Total Liquid Assets	**67.02%**	**60.29%**	**69.51%**
Net Loans	30.2%	36.6%	27.1%

The bank is highly liquid where liquid assets represented 69.5% of total assets at the end of Mar-20 compared to 60.29% at the end of Dec-19.

	Mar-19	Dec-19	Mar-20
SYP Net Loans / SYP Customer Deposits	53%	65%	60%
SYP Net Placements with Banks / SYP Customer Deposits*	36%	27%	28%
FCY Net Loans / FCY Customer Deposits	-9%	-1%	1%
FCY Net Placements with Banks / FCY Customer Deposits*	456%	401%	351%

**Net Placements with Banks includes Central Bank, Banks, and Head Office*

Net SYP loans to SYP customers' deposits reached 60% at the end of Mar-20 compared to 65% at the end of Dec-19.

As per regulatory requirements, the bank is required to maintain 20% of SYP funding sources and 30% of all currency funding sources in immediate liquidity where these ratios reached 40.4% and 111.86% respectively at the end of Mar-20.

CMC issued decree 185 on 09.12.2018 allowing bank to invest in CDs issued by CBOS in LCY. The first issue of CDs was raised on 04.02.2019 where BBS subscribed by SYP 1.6 billion at a discounted price of SYP 1.528 billion at an interest rate of 4.5% (effective rate is 4.71%) with value date 21.02.2019 and one year maturity.
The second issue was raised on 25.03.2020 where BBS subscribed by SYP 700 million at a discounted price of SYP 677 million at an interest rate of 6.5% for 6 months maturity.

APPENDIX 1: BALANCE SHEET

Balance Sheet by Currency (Local Currency)

ASSETS (LCY) In SYP 000's	Dec-18	Mar-19	Dec-19	Feb-20	Mar-20	Growth Mar-20/ Dec-19 Vol.	 %	Budget Mar-20	Variance with Budget Vol.	 %
Cash	2,292,686	3,364,995	4,202,769	6,902,342	8,443,448	4,240,679	100.9%	3,856,149	4,587,299	119.0%
Central Banks	14,086,884	17,932,540	12,073,644	13,750,924	15,503,069	3,429,425	28.4%	13,820,279	1,682,791	12.2%
- Current accounts	*11,538,948*	*13,749,108*	*7,745,969*	*11,012,988*	*12,086,949*	4,340,980	56.0%	*12,018,485*	68,464	0.6%
- Time placements						0	0.0%	*0*	0	0.0%
- Obligatory Reserves (5%) and Statutory Blocked Funds	*2,547,936*	*2,647,936*	*2,737,936*	*2,737,936*	*2,737,936*	0	0.0%	*216,640*	2,521,296	1163.8%
- Certificates of Deposit	*0*	*1,535,496*	*1,589,739*	*0*	*678,185*	(911,554)	-57.3%	*1,585,154*	(906,969)	-57.2%
Fixed Income Securities	0	0	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	390,569	394,511	401,786	402,078	401,786	0	0.0%	401,218	567	0.1%
Due from Banks	3,177,280	268,274	1,964,805	21,483	372,562	(1,592,243)	-81.0%	1,500,116	(1,127,554)	-75.2%
Placements with H.O., Sister & subsidiaries	0	0	0	0	0	0	0.0%	0	0	0.0%
Customer Loans (Net)	24,989,422	26,784,642	33,763,437	31,908,922	33,780,689	17,252	0.1%	34,917,507	(1,136,818)	-3.3%
Gross Loans (Total)	*35,537,140*	*37,131,452*	*43,577,493*	*42,899,848*	*44,319,953*	742,460	1.7%	*45,833,878*	*(1,513,925)*	*-3.3%*
- Gross Commercial Loans	*24,739,194*	*26,640,946*	*30,790,370*	*29,572,293*	*30,904,446*	114,075	0.4%	*32,483,751*	*(1,579,305)*	*-4.9%*
- Gross Retail Loans	*1,171,801*	*1,219,808*	*1,493,693*	*1,498,851*	*1,500,971*	7,278	0.5%	*1,795,168*	*(294,197)*	*-16.4%*
- Gross Doubtful Loans	*9,626,145*	*9,270,699*	*11,293,430*	*11,828,704*	*11,914,537*	621,107	5.5%	*11,554,960*	*359,577*	*3.1%*
- Accrued Interest &Interest received in advance	*492,831*	*506,409*	*845,920*	*774,441*	*763,667*	(82,252)	-9.7%	*847,831*	*(84,163)*	*-9.9%*
- Less: Reserved Interest	*(5,641,261)*	*(5,737,196)*	*(6,778,693)*	*(7,042,068)*	*(7,197,226)*	(418,533)	6.2%	*(7,026,914)*	*(170,311)*	*2.4%*
- Less: Specific Provisions	*(3,680,697)*	*(3,414,479)*	*(3,763,660)*	*(3,940,256)*	*(3,459,169)*	304,491	-8.1%	*(3,553,660)*	*94,490*	*-2.7%*
- Less: General & Collective Provisions	*(1,718,590)*	*(1,701,545)*	*(117,623)*	*(783,043)*	*(646,537)*	(528,913)	449.7%	*(268,098)*	*(378,439)*	*141.2%*
Acceptance	0	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	1,285,992	1,293,713	1,651,882	1,697,142	1,695,665	43,783	2.7%	2,378,242	(682,577)	-28.7%
Other Assets	648,580	698,105	837,888	1,267,486	2,110,861	1,272,972	151.9%	912,973	1,197,888	131.2%
Total Assets	**46,871,414**	**50,736,781**	**54,896,212**	**55,950,376**	**62,308,080**	**7,411,868**	**13.5%**	**57,786,484**	**4,521,596**	**7.8%**

LIABILITIES AND EQUITY (LCY) In SYP 000's	Dec-18	Mar-19	Dec-19	Feb-20	Mar-20	Growth Mar-20/ Dec-19 Vol.	 %	Budget Mar-20	Variance with Budget Vol.	 %
Due to Banks & Financial Institutions	340,385	416,612	271,834	336,915	333,753	61,919	22.8%	398,015	(64,262)	-16.1%
Due to H.O., Sister & Subsidiaries	0	0	0	0	0	0	0.0%	0	0	0.0%
Customer Deposits	48,546,964	50,772,339	51,997,527	52,896,014	56,450,951	4,453,424	8.6%	54,895,142	1,555,809	2.8%
Acceptances	0	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	1,211,697	1,634,351	2,999,447	3,804,651	4,592,348	1,592,902	53.1%	4,233,655	358,694	8.5%
Provisions for Risk & Charges	57,848	63,885	1,927,272	2,193,736	2,236,835	309,563	16.1%	2,094,077	142,758	6.8%
Total Equity	23,574,516	23,992,371	25,623,065	41,897,005	42,517,855	16,894,791	65.9%	28,771,681	13,746,174	47.8%
Total Liabilities & Equity	**73,731,409**	**76,879,557**	**82,819,144**	**101,128,321**	**106,131,743**	**23,312,599**	**28.1%**	**90,392,570**	**15,739,173**	**17.4%**

Balance Sheet by Currency (Foreign Currency)

ASSETS (FCY) In SYP 000's	Dec-18	Mar-19	Dec-19	Feb-20	Mar-20	Growth Mar-20/ Dec-19 Vol.	 %	Budget Mar-20	Variance with Budget Vol.	 %
Cash	2,175,596	2,609,272	1,559,505	2,184,133	2,146,090	586,585	37.6%	1,908,944	237,146	12.4%
Central Banks	6,516,896	7,780,540	9,014,487	15,386,469	17,872,023	8,857,535	98.3%	10,313,446	7,558,577	73.3%
- Current accounts	*2,536,443*	*3,903,905*	*4,644,606*	*8,321,832*	*10,811,142*	6,166,536	132.8%	*5,766,750*	5,044,393	87.5%
- Time placements			*436,000*	*704,000*	*704,000*	268,000	61.5%	*0*	704,000	0.0%
- Obligatory Reserves (5%) and Statutory Blocked Funds	*3,980,454*	*3,920,754*	*3,937,151*	*6,352,968*	*6,354,655*	2,417,504	61.4%	*4,050,131*	2,304,524	56.9%
- Accrued Interest Receivable			*9,658*	*20,598*	*23,100*	13,442	139.2%	*9,291*	13,808	148.6%
Governmental Securities	0	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Income Securities	0	0	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	0	0	0	0	0	0	0.0%	0	0	0.0%
Due from Banks	11,889,851	10,276,457	10,292,571	16,171,031	16,353,066	6,060,495	58.9%	11,838,757	4,514,310	38.1%
Placements with H.O., Sister & subsidiaries	15,031,265	15,602,683	16,437,773	27,018,729	26,494,137	10,056,364	61.2%	18,895,811	7,598,327	40.2%
Customer Loans (Net)	(478,867)	(760,740)	(77,452)	235,543	249,725	327,177	422.4%	(58,077)	307,802	-530.0%
Gross Loans (Total)	*6,902,765*	*6,103,461*	*6,672,545*	*10,544,459*	*10,667,775*	3,995,230	59.9%	*7,817,248*	*2,850,527*	*36.5%*
- Gross Commercial Loans	*9*	*41*	*21*	*2*	*73*	52	246.0%	*28*	*45*	*160.6%*
- Gross Retail Loans	*0*	*0*	*0*	*0*	*0*	0	0.0%	*0*	*0*	*0.0%*
- Gross Doubtful Loans	*6,902,756*	*6,103,421*	*6,672,524*	*10,544,456*	*10,667,703*	3,995,178	59.9%	*7,817,220*	*2,850,483*	*36.5%*
- Accrued Interest &Interest received in advance	*0*	*0*	*0*	*0*	*(0)*	(0)	0.0%	*0*	*(0)*	*-100.0%*
- Less: Reserved Interest	*(3,321,387)*	*(3,430,972)*	*(3,970,047)*	*(6,332,036)*	*(6,441,170)*	(2,471,123)	62.2%	*(4,790,995)*	*(1,650,175)*	*34.4%*
- Less: Specific Provisions	*(3,557,838)*	*(2,665,229)*	*(2,779,951)*	*(4,486,233)*	*(4,361,248)*	(1,581,297)	56.9%	*(3,084,330)*	*(1,276,918)*	*41.4%*
- Less: General & Collective Provisions	*(502,407)*	*(768,001)*	*0*	*509,352*	*384,368*	384,368	0.0%	*0*	*384,368*	*0.0%*
Acceptance	0	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	0	0	0	0	0	0	0.0%	0	0	0.0%
Other Assets	58,167	51,271	0	12,859	0	0	0.0%	40,790	(40,790)	-100.0%
Total Assets	**35,192,909**	**35,559,483**	**37,226,885**	**61,008,764**	**63,115,042**	**25,888,157**	**69.5%**	**42,939,670**	**20,175,372**	**47.0%**

LIABILITIES AND EQUITY (FCY) In SYP 000's	Dec-18	Mar-19	Dec-19	Feb-20	Mar-20	Growth Mar-20/ Dec-19 Vol.	 %	Budget Mar-20	Variance with Budget Vol.	 %
Due to Banks & Financial Institutions	340,292	561,122	454,930	799,395	473,422	18,492	4.1%	583,179	(109,757)	-18.8%
Due to H.O., Sister & Subsidiaries	0	0	0	0	0	0	0.0%	0	0	0.0%
Customer Deposits	7,877,580	8,679,214	8,630,246	13,820,186	17,289,307	8,659,060	100.3%	10,067,484	7,221,823	71.7%
Acceptances	0	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	101,875	131,983	130,296	529,232	854,592	724,295	555.9%	157,051	697,540	444.1%
Provisions for Risk & Charges	13,166	44,388	88,480	674,059	674,059	585,579	661.8%	84,778	589,281	695.1%
Total Equity	0	0	0	0	0	0	0.0%	0	0	0.0%
Total Liabilities & Equity	**8,332,913**	**9,416,707**	**9,303,953**	**15,822,873**	**19,291,380**	**9,987,427**	**107.3%**	**10,892,492**	**8,398,887**	**77.1%**

Balance Sheet by Currency (Total C/v. SYP Thousands):

ASSETS In SYP 000's	Dec-18	Mar-19	Dec-19	Feb-20	Mar-20	Growth Mar-20/ Dec-19 Vol.	 %	Budget Mar-20	Variance with Budget Vol.	 %
Cash	4,468,283	5,974,267	5,762,274	9,086,476	10,589,538	4,827,264	83.8%	5,765,093	4,824,445	83.7%
Central Banks	20,603,780	25,713,080	21,088,132	29,129,447	33,375,092	12,286,961	58.3%	24,133,724	9,241,368	38.3%
- Current accounts	*14,075,391*	*17,653,014*	*12,390,576*	*19,334,820*	*22,898,091*	10,507,516	84.8%	*17,785,235*	5,112,857	28.7%
- Time placements			*436,000*	*704,000*	*704,000*	268,000	61.5%	*0*	704,000	0.0%
- Obligatory Reserves (5%) and Statutory Blocked Funds	*6,528,389*	*6,568,689*	*6,675,087*	*9,090,903*	*9,092,591*	2,417,504	36.2%	*4,266,771*	4,825,819	113.1%
- Certificates of Deposit	*0*	*1,535,496*	*1,589,739*	*0*	*678,185*	(911,554)	-57.3%	*1,585,154*	(906,969)	-57.2%
- Accrued Interest Receivable	*0*	*0*	*9,658*	*20,598*	*23,100*	13,442	139.2%	*9,291*	13,808	148.6%
Governmental Securities	0	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Income Securities	0	0	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	390,569	394,511	401,786	402,078	401,786	0	0.0%	401,218	567	0.1%
Due from Banks	15,067,131	10,544,732	12,257,377	16,192,514	16,725,629	4,468,252	36.5%	13,338,873	3,386,756	25.4%
Placements with H.O., Sister & subsidiaries	15,031,265	15,602,683	16,437,773	27,018,729	26,494,137	10,056,364	61.2%	18,895,811	7,598,327	40.2%
Customer Loans (Net)	24,510,555	26,023,902	33,685,985	32,144,464	34,030,414	344,429	1.0%	35,418,338	(1,387,923)	-3.9%
Gross Loans (Total)	*42,439,905*	*43,234,914*	*50,250,039*	*53,444,307*	*54,987,729*	4,737,690	9.4%	*53,294,504*	*1,693,225*	*3.2%*
- Gross Commercial Loans	*24,739,203*	*26,640,986*	*30,790,391*	*29,572,296*	*30,904,518*	114,127	0.4%	*32,483,779*	*(1,579,261)*	*-4.9%*
- Gross Retail Loans	*1,171,801*	*1,219,808*	*1,493,693*	*1,498,851*	*1,500,971*	7,278	0.5%	*1,795,168*	*(294,197)*	*-16.4%*
- Gross Doubtful Loans	*16,528,901*	*15,374,120*	*17,965,954*	*22,373,160*	*22,582,240*	4,616,285	25.7%	*19,015,557*	*3,566,682*	*18.8%*
- Accrued Interest &Interest received in advance	*492,831*	*506,409*	*845,920*	*774,441*	*763,667*	(82,252)	-9.7%	*847,831*	*(84,163)*	*-9.9%*
- Less: Reserved Interest	*(8,962,648)*	*(9,168,167)*	*(10,748,739)*	*(13,374,104)*	*(13,638,396)*	(2,889,656)	26.9%	*(11,817,909)*	*(1,820,487)*	*15.4%*
- Less: Specific Provisions	*(7,238,535)*	*(6,079,708)*	*(6,543,611)*	*(8,426,489)*	*(7,820,417)*	(1,276,806)	19.5%	*(6,637,990)*	*(1,182,427)*	*17.8%*
- Less: General & Collective Provisions	*(2,220,998)*	*(2,469,546)*	*(117,624)*	*(273,691)*	*(262,169)*	(144,545)	122.9%	*(268,098)*	*5,929*	*-2.2%*
Acceptance	0	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	1,285,992	1,293,713	1,651,882	1,697,142	1,695,665	43,783	2.7%	2,378,242	(682,577)	-28.7%
Other Assets	706,747	749,376	837,888	1,280,344	2,110,861	1,272,972	151.9%	953,763	1,157,098	121.3%
Total Assets	**82,064,323**	**86,296,265**	**92,123,097**	**116,951,194**	**125,423,122**	**33,300,026**	**36.1%**	**101,285,062**	**24,138,060**	**23.8%**

LIABILITIES AND EQUITY In SYP 000's	Dec-18	Mar-19	Dec-19	Feb-20	Mar-20	Growth Mar-20/ Dec-19 Vol.	 %	Budget Mar-20	Variance with Budget Vol.	 %
Due to Banks & Financial Institutions	680,677	977,734	726,764	1,136,310	807,176	80,412	11.1%	981,194	(174,019)	-17.7%
Due to H.O., Sister & Subsidiaries	0	0	0	0	0	0	0.0%	0	0	0.0%
Customer Deposits	56,424,544	59,451,552	60,627,773	66,716,200	73,740,257	13,112,484	21.6%	64,962,625	8,777,632	13.5%
Acceptances	0	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	1,313,572	1,766,334	3,129,743	4,333,883	5,446,940	2,317,197	74.0%	4,390,706	1,056,234	24.1%
Provisions for Risk & Charges	71,014	108,273	2,015,752	2,867,795	2,910,894	895,142	44.4%	2,178,855	732,039	33.6%
Total Equity	23,574,516	23,992,371	25,623,065	41,897,005	42,517,855	16,894,791	65.9%	28,771,681	13,746,174	47.8%
Total Liabilities & Equity	**82,064,323**	**86,296,264**	**92,123,097**	**116,951,194**	**125,423,122**	**33,300,026**	**36.1%**	**101,285,062**	**24,138,061**	**23.8%**

Balance Sheet (Total C/v. USD Thousands):

Byblos Bank Syria										
ASSETS						**Growth Mar-20/ Dec-19**		**Budget**	**Variance with Budget**	
In USD 000's	**Dec-18**	**Mar-19**	**Dec-19**	**Feb-20**	**Mar-20**	**Vol.**	**%**	**Mar-20**	**Vol.**	**%**
Cash	10,248	13,702	13,216	12,907	15,042	1,826	13.8%	8,189	6,853	83.7%
Central Banks	47,256	58,975	48,367	41,377	47,408	(959)	-2.0%	34,281	13,127	38.3%
- Current accounts	*32,283*	*40,489*	*28,419*	*27,464*	*32,526*	4,107	14.5%	*25,263*	7,263	28.7%
- Time placements	*0*	*0*	*1,000*	*1,000*	*1,000*	0	0.0%	*714*	286	40.0%
- Obligatory Reserves (5%) and Statutory Blocked Funds	*14,973*	*15,066*	*15,310*	*12,913*	*12,916*	(2,394)	-15.6%	*6,061*	6,855	113.1%
- Certificates of Deposit	*0*	*3,522*	*3,646*	*0*	*963*	(2,683)	-73.6%	*2,252*	(1,288)	-57.2%
Governmental Securities	0	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Income Securities	0	0	0	0	0	0	0.0%	0	0	0.0%
Equity Investment	896	905	922	571	571	(351)	-38.1%	570	1	0.1%
Due from Banks	34,558	24,185	28,113	23,001	23,758	(4,355)	-15.5%	18,947	4,811	25.4%
Placements with H.O., Sister & subsidiaries	34,475	35,786	37,701	38,379	37,634	(68)	-0.2%	26,841	10,793	40.2%
Customer Loans (Net)	56,217	59,688	77,261	45,660	48,339	(28,923)	-37.4%	50,310	(1,971)	-3.9%
Gross Loans (Total)	*97,339*	*99,163*	*115,252*	*75,915*	*78,108*	(37,145)	-32.2%	*75,702*	*2,405*	*3.2%*
- Gross Commercial Loans	*56,741*	*61,103*	*70,620*	*42,006*	*43,898*	(26,722)	-37.8%	*46,142*	*(2,243)*	*-4.9%*
- Gross Retail Loans	*2,688*	*2,798*	*3,426*	*2,129*	*2,132*	(1,294)	-37.8%	*2,550*	*(418)*	*-16.4%*
- Gross Doubtful Loans	*37,910*	*35,262*	*41,206*	*31,780*	*32,077*	(9,129)	-22.2%	*27,011*	*5,066*	*18.8%*
- Accrued Interest &Interest received in advance	*1,130*	*1,161*	*1,940*	*1,100*	*1,085*	(855)	-44.1%	*1,204*	*(120)*	*-9.9%*
- Less: Reserved Interest	*(20,557)*	*(21,028)*	*(24,653)*	*(18,997)*	*(19,373)*	5,280	-21.4%	*(16,787)*	*(2,586)*	*15.4%*
- Less: Specific Provisions	*(16,602)*	*(13,944)*	*(15,008)*	*(11,969)*	*(11,109)*	3,900	-26.0%	*(9,429)*	*(1,680)*	*17.8%*
- Less: General & Collective Provisions	*(5,094)*	*(5,664)*	*(270)*	*(389)*	*(372)*	(103)	38.0%	*(381)*	*8*	*-2.2%*
Acceptance	0	0	0	0	0	0	0.0%	0	0	0.0%
Fixed Assets	2,950	2,967	3,789	2,411	2,409	(1,380)	-36.4%	3,378	(970)	-28.7%
Other Assets	1,621	1,719	1,922	1,819	2,998	1,077	56.0%	1,355	1,644	121.3%
Total Assets	**188,221**	**197,927**	**211,292**	**166,124**	**178,158**	**(33,134)**	**-15.7%**	**143,871**	**34,287**	**23.8%**

LIABILITIES AND EQUITY						**Growth Mar-20/ Dec-19**		**Budget**	**Vasiance with Budget**	
In USD 000's	**Dec-18**	**Mar-19**	**Dec-19**	**Feb-20**	**Mar-20**	**Vol.**	**%**	**Mar-20**	**Vol.**	**%**
Due to Banks & Financial Institutions	1,561	2,243	1,667	1,614	1,147	(520)	-31.2%	1,394	(247)	-17.7%
Due to H.O., Sister & Subsidiaries	0	0	0	0	0	0	0.0%	0.0	0	0.0%
Customer Deposits	129,414	136,357	139,055	94,767	104,745	(34,310)	-24.7%	92,276	12,468	13.5%
Acceptances	0	0	0	0	0	0	0.0%	0	0	0.0%
Other Liabilities	3,013	4,051	7,178	6,156	7,737	559	7.8%	6,237	1,500	24.1%
Provisions for Risk & Charges	163	248	4,623	4,074	4,135	(488)	-10.6%	3,095	1,040	33.6%
Total Equity	54,070	55,028	58,768	59,513	60,395	1,626	2.8%	40,869	19,526	47.8%
Total Liabilities & Equity	**188,221**	**197,927**	**211,292**	**166,124**	**178,158**	**(33,134)**	**-15.7%**	**143,871**	**34,287**	**23.8%**
Exchange Rates	**436.00**	**436.00**	**436.00**	**704.00**	**704.00**					

APPENDIX 2: INCOME STATEMENT

Profit & Loss (in SYP Thousand):

INCOME AND EXPENSES In SYP 000's	Dec-18	Mar-19	Dec-19	Feb-20	Mar-20	Growth Mar-20/Mar-19 Vol.	 %	Budget Mar-20	Variance with Budget Vol.	 %
Interest Income	**3,859,421**	**1,229,479**	**5,034,197**	**948,807**	**1,372,853**	**143,374**	**11.7%**	**1,474,699**	**(101,846)**	**-6.9%**
Placement with Central Bank of Syria	0	0	9,658	4,051	6,553	6,553	0.0%	10,016	(3,464)	**-34.6%**
Certificates of Deposit with Central Bank of Syria	0	7,496	61,739	10,261	11,133	3,637	48.5%	17,678	(6,545)	-37.0%
Deposits and similar accounts with banks & financial institutions	55,801	13,141	51,546	11,012	18,159	5,017	38.2%	12,688	5,470	43.1%
Deposits with HO, holding company,branches, affiliates	719,780	222,275	879,855	158,736	237,845	15,571	7.0%	276,909	(39,063)	-14.1%
Bonds and similar financial instruments with fixed income	0	0	0	0	0	0	0.0%	0	0	0.0%
Loans & advances to customers	3,060,817	978,407	4,005,082	762,437	1,095,152	116,745	11.9%	1,149,128	(53,977)	-4.7%
2 per mille - Highest debit commission	23,023	8,160	26,317	2,310	4,011	(4,149)	-50.8%	8,279	(4,268)	-51.6%
Interest Paid	**2,179,637**	**430,950**	**1,758,698**	**286,467**	**446,629**	**15,679**	**3.6%**	**513,368**	**(66,739)**	**-13.0%**
Deposits and similar accounts from banks & financial institutions	0	0	0	0	0	0	0.0%	0	0	0.0%
Deposits from HO, holding company,branches, affiliates	0	(0)	(0)	(0)	(0)	(0)	119.3%	0	(0)	0.0%
Customer deposits & other creditor accounts	2,179,061	430,067	1,728,055	282,110	439,986	9,919	2.3%	491,141	(51,154)	-10.4%
Other interest and similar charges	0	884	30,644	4,357	6,643	5,760	651.9%	22,228	(15,584)	-70.1%
Net Interest Income Before Provisions	**1,679,784**	**798,529**	**3,275,499**	**662,340**	**926,224**	**127,695**	**16.0%**	**961,331**	**(35,107)**	**-3.7%**
Specific Provisions for Doubtful loans	738,574	357,920	1,043,322	0	0	(357,920)	-100.0%	0	0	0.0%
Recoveries of Provisions no More Required	109,783	1,287,114	1,314,270	102,367	102,612	(1,184,502)	-92.0%	324,009	(221,397)	-68.3%
Net Provisions	**628,791**	**(929,195)**	**(270,948)**	**(102,367)**	**(102,612)**	**826,583**	**-89.0%**	**(324,009)**	**221,397**	**-68.3%**
Net Interest Income After Provisions	**1,050,993**	**1,727,724**	**3,546,447**	**764,708**	**1,028,836**	**(698,888)**	**-40.5%**	**1,285,339**	**(256,504)**	**-20.0%**
Commissions Received	**248,024**	**196,996**	**1,374,613**	**213,640**	**296,819**	**99,823**	**50.7%**	**206,417**	**90,402**	**43.8%**
Documentary Credits	0	5	3,101	2,703	4,403	4,398	87960.5%	66	4,337	6565.3%
Acceptances	1,300	9,197	35,880	11,958	29,490	20,294	220.7%	10,908	18,582	170.3%
Letters of Guarantee	150,682	58,616	425,220	21,235	25,026	(33,591)	-57.3%	37,500	(12,474)	-33.3%
Banking Services	96,042	129,180	910,412	177,744	237,900	108,720	84.2%	157,942	79,958	50.6%
Commissions Paid	**9,071**	**1,966**	**19,432**	**952**	**1,408**	**(558)**	**-28.4%**	**6,056**	**(4,648)**	**-76.7%**
Net commission Income	**238,952**	**195,030**	**1,355,181**	**212,688**	**295,411**	**100,380**	**51.5%**	**200,361**	**95,050**	**47.4%**
FX Income (Net)	**22,242**	**78,359**	**352,765**	**(16,217)**	**(24,873)**	**(103,232)**	**-131.7%**	**92,680**	**(117,553)**	**-126.8%**
Unrealized Structural FX Income (Loss)	**0**	**0**	**(1,500)**	**17,085,220**	**0**	**0**	**0.0%**	**4,250,000**	**(4,250,000)**	**-100.0%**
Income from Financial Operations (Net)	**0**	**0**	**0**	**0**	**0**	**0**	**0.0%**	**0**	**0**	**0.0%**
Out of which Realized Gains	0	0	0	0	0	0	0.0%		0	0.0%
Net Other Operating Income (Expense)	**8,957**	**(14)**	**37,340**	**9**	**617**	**632**	**4502.0%**	**3,009**	**(2,392)**	**-79.5%**
Total Operating Income	**1,321,144**	**2,001,098**	**5,290,232**	**18,046,408**	**1,299,991**	**(701,108)**	**-35.0%**	**5,831,390**	**(4,531,399)**	**-77.7%**
EXPENSES										
Salaries & employees benefits	1,173,728	326,896	1,516,728	299,119	456,875	129,980	39.8%	445,871	11,004	2.5%
Other operating expenses	731,116	167,752	698,516	102,793	169,372	1,620	1.0%	201,053	(31,681)	-15.8%
Management Agreement	0	0	0	0	0	0	0.0%	0	0	0.0%
Depreciations	103,587	40,154	243,420	43,649	73,668	33,514	83.5%	38,774	34,894	90.0%
Total Operating Expenses	**2,008,431**	**534,801**	**2,458,664**	**445,560**	**699,915**	**165,114**	**30.9%**	**685,698**	**14,217**	**2.1%**
Net Income before taxes	**(687,287)**	**1,466,298**	**2,831,569**	**17,600,847**	**600,076**	**(866,222)**	**-59.1%**	**5,145,692**	**(4,545,616)**	**-88.3%**
Dividends from Subsidiaries & or Sister Co's	12,476	3,012	11,217	0	0	(3,012)	-100.0%	2,237	(2,237)	-100.0%
Provisions for Risk & Charges	(3,800)	4,000	49,835	2,000	3,000	(1,000)	-25.0%	7,124	(4,124)	-57.9%
General and Collective Provisions	(1,737,646)	152,524	(2,445,272)	0	0	(152,524)	-100.0%	0	0	0.0%
Banks and COS ECL provisons		489,696	2,392,658	0	0	(489,696)	-100.0%	199,241	(199,241)	-100.0%
Taxes	(168,493)	406,165	797,020	128,856	149,929	(256,235)	-63.1%	68,858	81,072	117.7%
NET INCOME	**1,235,129**	**416,925**	**2,048,545**	**17,469,992**	**447,147**	**30,222**	**7.2%**	**4,872,706**	**(4,425,559)**	**-90.8%**
Net Income Excluding Unrealized Structural FX Income	**1,235,129**	**416,925**	**2,050,045**	**384,772**	**447,147**	**30,222**	**7.2%**	**622,706**	**(175,559)**	**-28.2%**

Profit & Loss (C/v. USD Thousand):

INCOME AND EXPENSES In USD 000's	Dec-18	Mar-19	Dec-19	Feb-20	Mar-20	Growth Mar-20/Mar-19 Vol.	 %	Budget Mar-20	Variance with Budget Vol.	 %
Interest Income	**8,852**	**2,820**	**11,546**	**1,665**	**2,233**	**(586)**	**-20.8%**	**3,382**	**(1,149)**	**-34.0%**
Placement with Central Bank of Syria	0	0	22	7	11	11	0.0%	23	(12)	-53.6%
Certificates of Deposit with central bank of Syria	0	17	142	18	18	1	5.4%	41	(22)	-55.3%
Deposits and similar accounts with banks & financial institutions	128	30	118	19	30	(1)	-2.0%	29	0	1.5%
Deposits with HO, holding company,branches, affiliates	1,651	510	2,018	278	387	(123)	-24.1%	635	(248)	-39.1%
Bonds and similar financial instruments with fixed income	0	0	0	0	0	0	0.0%	0	0	0.0%
Loans & advances to customers	7,020	2,244	9,186	1,338	1,782	(462)	-20.6%	2,636	(854)	-32.4%
2 per mille - Highest debit commission	53	19	60	4	7	(12)	-65.1%	19	(12)	-65.6%
Interest Paid	**4,999**	**988**	**4,034**	**503**	**727**	**(262)**	**-26.5%**	**1,177**	**(451)**	**-38.3%**
Deposits and similar accounts from banks & financial institutions	0	0	0	0	0	0	0.0%	0	0	0.0%
Deposits from HO, holding company,branches, affiliates	0	(0)	(0)	(0)	(0)	(0)	55.6%	0	(0)	0.0%
Customer deposits & other creditor accounts	4,998	986	3,963	495	716	(271)	-27.4%	1,126	(411)	-36.5%
Related parties deposits	1	0	0	0	0	0	0.0%	0	0	0.0%
Net Interest Income Before Provisions	**3,852.7**	**1,831.5**	**7,512.6**	**1,162.0**	**1,506.9**	**(325)**	**-17.7%**	**2,205**	**(698)**	**-31.7%**
Specific Provisions for Doubtful loans	1,694	821	2,393	0	0	(821)	**-100.0%**	0	**0**	**0.0%**
Recoveries of Provisions no More Required	252	2,952	3,014	180	167	(2,785)	**-94.3%**	743	**(576)**	**-77.5%**
Net Provisions	**1,442**	**(2,131)**	**(621)**	**(180)**	**(167)**	**1,964**	-92.2%	(743)	576	-77.5%
Net Interest Income After Provisions	**2,411**	**3,963**	**8,134**	**1,342**	**1,674**	(2,289)	**-57.8%**	**2,948**	**(1,274)**	**-43.2%**
Commissions Received	**569**	**452**	**3,153**	**375**	**483**	**31**	**6.9%**	**473**	**9**	**2.0%**
Documentary Credits	0	0	7	5	7	7	62363.7%	0	7	4627.9%
Acceptances	3	21	82	21	48	27	127.5%	25	23	91.8%
Letters of Guarantee	346	134	975	37	41	(94)	-69.7%	86	(45)	-52.7%
Banking Services	220	296	2,088	312	387	91	30.6%	362	25	6.8%
Commission Paid	21	5	45	2	2	(2)	-49.2%	14	(12)	-83.5%
Net commission Income	**548.1**	**447.3**	**3,108.2**	**373.1**	**480.6**	33	**7.4%**	**460**	**21**	**4.6%**
FX Income (Net)	**51**	**180**	**809**	**(28)**	**(40)**	(220)	**-122.5%**	**213**	**(253)**	**-119.0%**
Unrealized Strucutral FX Income (Loss)	**0**	**0**	**(3)**	**29,974**	**0**	0	**0.0%**	**9,747.7**	**(9,748)**	**-100.0%**
Income from Financial Operations (Net)	**0**	**0**	**0**	**0**	**0**	0	**0.0%**	**0**	**0**	**0.0%**
Net Other Operating Income (Expense)	**21**	**(0)**	**86**	**0**	**1**	1	**3222.4%**	**7**	**(6)**	**-85.4%**
Total Operating Income	**3,030**	**4,590**	**12,134**	**31,660**	**2,115**	(2,475)	**-53.9%**	**13,375**	**(11,260)**	**-84.2%**
EXPENSES										
Salaries & employees benefits	2,692	750	3,479	525	743	(6)	-0.9%	1,023	(279)	-27.3%
Other operating expenses	1,677	385	1,602	180	276	(109)	-28.4%	461	(186)	-40.2%
Management Agreement	0	0	0	0	0	0	0.0%	0	0	0.0%
Depreciations	238	92	558	77	120	28	30.1%	89	31	34.8%
Total Operating Expenses	**4,606**	**1,227**	**5,639**	**782**	**1,139**	**(88)**	**-7.2%**	**1,573**	**(434)**	**-27.6%**
Net Income before taxes	**(1,576)**	**3,363**	**6,494**	**30,879**	**976**	**(2,387)**	**-71.0%**	**11,802**	**(10,826)**	**-91.7%**
Dividends from Subsidiaries & or Sister Co's	29	7	26	0	0	(7)	-100.0%	5	(5)	-100.0%
Provisions for risk and charges	(9)	9	114	4	5	(4)	-46.8%	16	(11)	-70.1%
General and Collective Provisions	(3,985)	350	(5,608)	0	0	(350)	-100.0%	0	0	0.0%
Banks and COS ECL provisons	0	1,123	5,488	0	0	(1,123)	-100.0%	0	0	0.0%
Collective provisions on Financial Instruments	0	0	0	0	0	0	0.0%	0	0	0.0%
Taxes	(386)	932	1,828	226	244	(688)	-74%	158	86	54.4%
NET INCOME	**2,833**	**956**	**4,698**	**30,649**	**727**	**(229)**	**-24%**	**11,633**	**(10,905)**	**-93.7%**
Net Income Excluding Unrealized Structural FX Income	**2,833**	**956**	**4,702**	**675**	**727**	**(229)**	**-24%**	**1,885**	**(1,158)**	**-61.4%**
Average Exchange Rates	**436**	**436**	**436**	**570**	**615**					